

Trade unions



The textbook model of a labour market involves millions of workers making their own contracts with millions of employers. However, with the rise of industrial capitalism, the employers often become large corporations. An important function of trade unions is to increase workers' bargaining power against these powerful employers. By negotiating collectively, and agreeing not to compete with each other, workers can achieve better pay. Employers may even prefer to deal with unions, as it simplifies setting wages and conditions. The role of unions is more complex than this, however, as they mediate other interactions between workers and employers.

Unions have come in for criticism from some economists, who argue that while they ensure higher wages for union members, they shut out non-unionized workers and create unemployment. In recent decades, many governments attempted to reduce the

power of unions, believing them to be an impediment to the modernization of economies.